

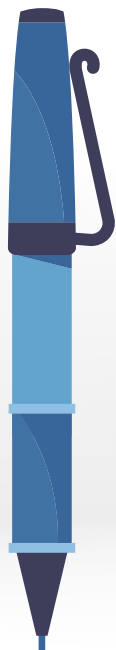
Chapter 2:

Key Terminologies and Concepts

It is time to lay the groundwork before we discuss how to select options and when to buy and sell. This chapter explores the meaning of options and how to measure and interpret their price movements. We will explore how option prices can change with the value of the underlying assets, time, volatility, and interest rates. We will also discuss key concepts, like the options' intrinsic and time value, expiry schedules, and put-call parity.

2.1 What are Options?

The simplest way to define an option is a right to buy or sell an asset at a specified price. Please note that this is a right and not an obligation. Originally, options protected investors from unexpected changes in asset prices. Once you buy an option with a favourable strike price, you needn't worry about how the underlying asset's price may change. Let us understand this with an example.



Suppose you bought a call option to purchase a pen at ₹100 by paying a premium of ₹2. Effectively, it lets you buy the pen at ₹102.

Quantity = 1
Price = ₹100
Premium = ₹2
Buying Price = ₹102



Increased Price = ₹110
Exercising your option,
saves you = ₹8

If the demand for this pen increases, the pen's price may rise to ₹110. If you exercise your option, you will be saving ₹8.



Decreased Price = ₹90
Exercising your option,
loses you = ₹12

However, what if the pen's price drops to ₹90? You need not exercise the option. Instead, you can spend ₹90 to buy the pen directly.

It is better to lose ₹2 than to lose ₹12 (considering a price of ₹102).